

IN THE COURT OF APPEAL (CIVIL DIVISION)

Case No: CA-2022-000651

BETWEEN:

STERLING INVESTMENTS LTD

Appellant

- and -

BLACKWOOD CAPITAL PARTNERS LLP

Respondent

RESPONDENT'S SKELETON ARGUMENT

A. INTRODUCTION

1. The Respondent denies breach of duty and contends that the investment decisions complained of fell within the scope of its contractual discretion and were reasonable in the market conditions prevailing at the material time.

B. RELEVANT FACTS

2. The Investment Management Agreement granted the Respondent broad discretionary powers over investment decisions.

3. The technology investments were made following detailed analysis and were consistent with the Appellant's stated risk appetite.

4. Market conditions in 2019-2020 were unprecedented and the losses were attributable to unforeseeable market events.

5. The Respondent provided quarterly reports in accordance with contractual requirements.

6. The portfolio's performance was consistent with comparable funds in the same period.

C. LEGAL FRAMEWORK

7. The relevant statutory provisions are:

- Financial Services and Markets Act 2000, s.138D
- Senior Courts Act 1981, s.35A

D. SUBMISSIONS

8. The investment decisions fell within the scope of the discretion granted by the Agreement.
9. The Respondent exercised reasonable skill and care in the prevailing market conditions.
10. The losses were caused by unprecedented market volatility, not any breach of duty.
11. The Appellant accepted the risk of loss when entering into a discretionary investment arrangement.

E. AUTHORITIES

12. The following authorities are relied upon:

- Bolam v Friern Hospital Management Committee [1957] 1 WLR 582
- Spread Trustee Co Ltd v Hutcheson [2011] UKPC 13
- JP Morgan Chase Bank v Springwell Navigation Corp [2010] EWCA Civ 1221

F. RELIEF SOUGHT

13. The Respondent respectfully requests that this Court:

- Dismiss the claim
- Costs on the indemnity basis

Michael Clarke KC

David Roberts

15 December 2025

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